Chapter 09: International Factor Movements and Multinational Enterprises

1. Which of the following economic forces underlie the international flow of goods and services?
   a. Productive factors move from nations where they are scarce to nations where they are abundant.
   b. Productive factors flow in response to differences in returns when they are less than the costs of moving from one country to another.
   c. Productive factors move for reasons that are significantly different from those economic forces that explain the international movement flow of goods and services.
   d. Productive factors move from where they are abundant to where they are scarce.

ANSWER: d
FEEDBACK:
   a.
   b.
   c.
   d. Productive factors move, when they are permitted to, from nations where they are abundant (low productivity) to nations where they are scarce (high productivity).

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Evaluate

2. Imagine that Amazon purchases a Japanese grocery store chain and begins home delivery of groceries in Japan. This is an example of
   a. horizontal integration.
   b. vertical integration.
   c. conglomerate integration.
   d. backward integration.

ANSWER: c
FEEDBACK:
   a.
   b.
   c. When MNEs diversify into nonrelated markets, it is known as conglomerate integration.
   d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Analyze

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3. The source (home) location of most of the world's leading multinational enterprises is
   a. North America and Europe.
   b. North America and Asia.
   c. Europe and South America.
   d. Europe and Asia.

ANSWER: a

FEEDBACK:
   a. The source (home) location of most of the world's leading multinational enterprises is North America and Europe.
   b.
   c.
   d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

4. Which type of multinational diversification occurs when the parent firm establishes foreign subsidiaries to produce intermediate goods going into the production of finished goods?
   a. forward integration
   b. backward integration
   c. forward integration
   d. backward integration

ANSWER: b

FEEDBACK:
   a.
   b. Backward integration occurs when the parent firm establishes subsidiaries to produce intermediate goods going into the production of finished goods.
   c.
   d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

5. Suppose that an American automobile manufacturer establishes foreign subsidiaries to market the automobiles. This practice is referred to as

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a. forward vertical integration.
b. forward conglomerate integration.
c. backward vertical integration.
d. backward conglomerate integration.

ANSWER: a

FEEDBACK:
a. Forward vertical integration occurs when the parent firm establishes subsidiaries in the direction of the final consumer market.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Apply

6. Suppose that a steel manufacturer headquartered in Japan sets up a subsidiary in Canada to produce steel. This practice is referred to as

a. conglomerate integration.
b. forward vertical integration.
c. backward vertical integration.
d. horizontal integration.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. Horizontal integration occurs when a parent company producing a commodity in the source country sets up a subsidiary to produce an identical product in the host country.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Apply

7. During the 1980s, American oil companies acquired nonenergy companies (e.g., copper, auto components) in response to anticipated decreases in investment opportunities in oil. This type of diversification is referred to as

a. horizontal integration.

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b. conglomerate integration.
c. forward vertical integration.
d. backward vertical integration.

ANSWER: b
FEEDBACK:
a.
b. Diversification into nonrelated markets it is known as conglomerate integration.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

8. Which of the following BEST refers to the outright construction or purchase abroad of productive facilities, such as manufacturing plants, by domestic residents?
a. foreign direct investment
b. portfolio investment
c. short-term capital investment
d. long-term capital investment

ANSWER: a
FEEDBACK:
a. Foreign direct investment is the acquisition of a controlling interest in an overseas company or facility.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

9. In recent years, most foreign direct investment in the United States has come from
a. Europe.
b. China.
c. Latin America.
d. Russia.

ANSWER: a

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FEEDBACK:
a. In recent years, most foreign direct investment in the United States has come from Europe.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

10. In recent years, the largest amount of U.S. direct investment abroad has occurred in
a. Latin America.
b. Europe.
c. China.
d. Russia.

ANSWER: b
FEEDBACK:
a.
b. The largest share of U.S. direct investment abroad has occurred in Europe.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

11. The largest share of U.S. direct investment abroad has recently gone to
a. Canada.
b. China.
c. Europe.
d. Latin America.

ANSWER: c
FEEDBACK:
a.
b.
c. The largest share of U.S. direct investment abroad has recently gone to Europe.
d.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

12. MOST foreign direct investment in the United States occurs in
    a. finance and insurance.
    b. information technology.
    c. manufacturing.
    d. mining and extraction.

ANSWER: c
FEEDBACK:
    a.
    b.
    c. Most foreign direct investment in the United States occurs in manufacturing.
    d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

13. Apple develops new iPhones in the United States but builds them overseas. Which type of integration is this?
    a. conglomerate
    b. vertical
    c. horizontal
    d. forward

ANSWER: b
FEEDBACK:
    a.
    b. Vertical integration occurs when the parent MNE decides to establish foreign subsidiaries to produce intermediate goods or inputs that go into the production of a finished good.
    c.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Apply

14. Imagine that the Brazilian aircraft manufacturer Embraer purchases a 10-percent share of a Canadian aircraft distribution company in order to facilitate the marketing and sales of its aircraft in Canada. This is an example of

a. portfolio investment.
b. forward integration.
c. conglomerate integration.
d. horizontal integration.

ANSWER: b
FEEDBACK:
a.
b. Forward integration occurs when the parent firm establishes subsidiaries in the direction of the final consumer market.
c.
d.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Apply

15. Imagine that, in 2016, a U.S. firm acquired a plant in France. In 2017, that plant accounted for 10 percent of the U.S. firm's sales. Why is the U.S. firm NOT a multinational enterprise?

a. The U.S. firm *is* a multinational enterprise because it engages in foreign direct investment.
b. Its foreign sales took place in a different year than its foreign acquisition.
c. Because of its trade agreements with France, a U.S. firm operating there is not considered multinational.
d. Its foreign sales are less than 25 percent.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. A typical MNE has a high ratio of foreign sales to total sales, often 25 percent or more.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

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TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Evaluate

16. Which of the following is NOT a significant motive for the formation of multinational enterprises?
a. avoiding tariffs by obtaining foreign manufacturing facilities
b. obtaining the benefits from overseas comparative advantages
c. the acquisition of natural resource supply sources
d. subsidies granted by the home government to overseas corporations

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Among the major factors that influence decisions to undertake foreign direct investment are (a) market demand, (b) trade restrictions, (c) investment regulations, and (d) labor productivity and costs.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

17. Which of the following would best explain why foreign direct investment might be attracted to the United States?
a. U.S. price ceilings that hold down the price of energy
b. U.S. wage rates exceeding the productivity of U.S. labor
c. artificially high prices being charged for the stock of U.S. firms
d. anticipations of future reductions in U.S. tariff levels

ANSWER: a
FEEDBACK:
a. Multinationals often seek to increase profit levels through reductions in production costs. U.S. price ceilings that hold down the price of energy would attract cost-reducing foreign direct investments.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment

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KEYWORDS: BLOOM'S: Apply

18. Imagine that Microsoft is having difficulty selling laptops in Kenya because of differences in local tastes. It decides to build a subsidiary in Kenya. This is an example of a _____ motive for foreign direct investment.

a. cost factor
b. demand factor
c. country risk
d. backward integration

ANSWER: b

FEEDBACK:

a.
b. With the realization that local taste differences exist, setting up an overseas subsidiary to tap the Kenyan market is an example of a factor motive for foreign direct investment.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Apply

19. Firms undertake multinational operations in order to

a. hire low-wage workers.
b. manufacture in nations they have difficulty exporting to.
c. obtain necessary factor inputs.
d. All of these are correct.

ANSWER: d

FEEDBACK:

a.
b.
c.
d. Among the major factors that influence decisions to undertake foreign direct investment are (a) market demand, (b) trade restrictions, (c) investment regulations, and (d) labor productivity and costs.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Remember

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20. Imagine that a U.S. firm issues a press release regarding its intentions to acquire a foreign firm, a competitor. This competitor is located in a country with cheaper raw materials, more productive labor, and lower corporate tax rates. Which of factor is consistent with a demand motive for foreign direct investment?

a. The foreign firm is a competitor.

b. There are cheaper raw materials.

c. There is more productive labor.

d. None of these are correct.

ANSWER: a

FEEDBACK:

a. MNEs search for new markets and sources of demand. Acquiring a foreign competitor is consistent with a demand motive for foreign direct investment.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Evaluate

21. Suppose a U.S. CEO wants to expand her firm's manufacturing production. She argues it should occur in another country because U.S. wages are 15 percent higher. Which of the following will refute her argument?

a. U.S. workers are 20 percent more productive.

b. The foreign country is closer to a source of a needed raw material.

c. The foreign country has a free trade agreement with an important market for the finished good.

d. None of these are correct.

ANSWER: a

FEEDBACK:

a. Among the major factors that influence decisions to undertake foreign direct investment are (a) market demand, (b) trade restrictions, (c) investment regulations, and (d) labor productivity and costs. If U.S. workers are 20 percent more productive, that will refute her argument.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Evaluate

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22. Which of the following is an example of a cost motive for the formation of multinational enterprises?
    a. avoiding tariffs by obtaining foreign manufacturing facilities
    b. to utilize less productive foreign labor
    c. to have production farther from markets for the finished good
    d. to pay higher corporate taxes

ANSWER: a

FEEDBACK:
    a. Multinationals often seek to increase profit levels through reductions in production costs. Circumventing import tariff barriers is an example of a cost motive for the formation of multinational enterprises.
    b.
    c.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

23. Suppose that a steel company locates a production facility near a source of iron. This is an example of
    a. a demand factor motive for foreign direct investment.
    b. a cost factor motive for foreign direct investment.
    c. a government policy motive for foreign direct investment.
    d. a raw material motive for foreign direct investment.

ANSWER: b

FEEDBACK:
    a.
    b. Multinationals often seek to increase profit levels through reductions in production costs. The pursuit of essential raw materials may underlie a company's intent to go multinational and is an example of a cost factor motive.
    c.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

24. The decision to establish foreign manufacturing operations through direct investment or licensing depends on
    a. the extent to which capital is used in the production process.

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b. the size of the foreign market.
c. the amount of fixed cost a firm must bear when establishing an overseas facility.
d. All of these are correct.

ANSWER: d

FEEDBACK:
a.
b.
c.
d. The decision to establish foreign manufacturing operations through direct investment or licensing depends on the extent of economies of scale, transportation and distribution costs, and international trade barriers.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Remember

25. Suppose that Samsung's production costs are the same in both China and India. Also suppose that Samsung can produce cell phones in China for an average cost of $10 per phone for 300 million phones, $12 per phone for 200 million phones, and $15 per phone for 100 million phones. If customers in India demand 100 million phones and customers in China demand 200 million phones, Samsung's lowest-cost option is to

a. produce phones only in India and export phones to China.
b. produce phones only in China and export phones to India.
c. produce 100 million phones in India for Indian demand and produce 200 million phones in China for Chinese demand.
d. produce 150 million phones in India for Indian demand and 50 million to export to China and produce 150 million phones in China for Chinese demand.

ANSWER: b

FEEDBACK:
a.
b. Samsung's lowest-cost option is to produce phones only in China (customers in China demand 200 million phones) and export phones to India (100 million phones) for an average cost of $10 per phone for 300 million phones.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Apply

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26. Suppose that Samsung's production costs are the same in both China and India. Also suppose that Samsung can produce cell phones in China for an average cost of $10 per phone for 300 million phones, $12 per phone for 200 million phones, and $15 per phone for 100 million phones. If customers in India demand 100 million phones and customers in China demand 200 million phones, and there are transportation costs of $6 per phone, Samsung's lowest-cost option is to

a. produce phones only in India and export phones to China.
b. produce phones only in China and export phones to India.
c. produce 100 million phones in India for Indian demand and produce 200 million phones in China for Chinese demand.
d. produce 150 million phones in India for Indian demand and 50 million to export to China and produce 150 million phones in China for Chinese demand.

ANSWER: b

FEEDBACK:

a.
b. Samsung's lowest-cost option is to produce phones only in China, even after factoring in transportation cost. The average cost will rise to $12 per phone for 300 million phones. [(200 x $10) + (100 x $16)]/300 = $12.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Analyze

27. Suppose that Samsung's production costs are the same in both China and India. Also suppose that Samsung can produce cell phones in China for an average cost of $10 per phone for 300 million phones, $12 per phone for 200 million phones, and $15 per phone for 100 million phones. If customers in India demand 100 million phones and customers in China demand 200 million phones, and there is an Indian tariff of $10 per phone, Samsung's lowest-cost option is to

a. produce phones only in India and export phones to China.
b. produce phones only in China and export phones to India.
c. produce 100 million phones in India for Indian demand and produce 200 million phones in China for Chinese demand.
d. produce 150 million phones in India for Indian demand and 50 million to export to China and produce 150 million phones in China for Chinese demand.

ANSWER: c

FEEDBACK:

a.
b.
c. Samsung's lowest-cost option is to produce 100 million phones in India for Indian demand and produce 200 million phones in China for Chinese demand. The lowest-cost option per phone is $11.67 {[(200 x $10) + (100 x $15)]/300]}. The alternative is to pay the tariff which will raise the cost to $13.33 {[(200 x $10) + (100 x $20)]/300]}.
d.

POINTS: 1
DIFFICULTY: Challenging

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Analyze

28. Suppose that General Motors' per unit costs for a Mexican subsidiary are $17,000 per truck for 10,000 trucks, and $17,500 per truck for 12,000 trucks. A local Mexican firm can produce the same amounts at $16,500 and $18,000. These trucks can also be produced in Michigan and exported to Mexico at a constant cost of $18,500 per truck. If Mexican demand for trucks is 10,000 trucks, General Motor's lowest-cost option is to

a. use a licensing agreement and have the Mexican firm produce the trucks.
b. use a Mexican subsidiary.
c. export the trucks to Mexico.
d. export 5,000 trucks to Mexico and use a Mexican subsidiary for the other 5,000 trucks.

ANSWER: a
FEEDBACK:
a. If Mexican demand for trucks is 10,000 trucks, General Motors' lowest-cost option is to use a licensing agreement and have the Mexican firm produce the trucks ($17,000 per truck for 10,000 trucks).
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Apply

29. Once a firm knows that foreign demand exists, its next step is to

a. use foreign direct investment.
b. negotiate a licensing agreement with the foreign government.
c. cease operations in its home country.
d. ascertain the lowest-cost method of supplying goods abroad.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Once a firm knows that foreign demand exists, its next step is to ascertain the lowest-cost method of supplying goods abroad. The decision to establish foreign operations through direct investment or licensing depends on (1) the extent to which capital is used in the production process, (2) the size of the foreign market, and (3) the amount of fixed cost a business must bear when establishing an overseas facility.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Understand

30. Suppose that a local firm in a foreign market is incapable of adapting its operations to a multinational enterprise's production process. In this case_____ is not the lowest-cost method of supplying goods abroad.

a. licensing
b. foreign direct investment
c. direct exporting
d. backward integration

ANSWER: a
FEEDBACK:
a. Licensing is widely used in practice presupposes that local firms are capable of adapting their operations to the production process or technology of the parent organization.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Understand

31. Suppose that regardless of the amount of production, a subsidiary's per unit costs are always less than a local firm's. If there are significant tariffs, in this case _____is likely to be the lowest-cost method of supplying goods abroad.

a. licensing
b. subsidiary production
c. direct exporting
d. vertical integration

ANSWER: b
FEEDBACK:
a.
b. If there are significant tariffs and a subsidiary's per unit costs are always less than a local firm's, subsidiary production is likely to be the lowest-cost method of supplying goods abroad.
c.
d.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Understand

32. Suppose that there are significant costs associated with coordinating a subsidiary with the parent organization and assessing the market potential of a foreign country. If there are also significant tariffs, in this case _____is likely to be the lowest-cost method of supplying goods abroad.

a. licensing
b. subsidiary production
c. direct exporting
d. conglomerate integration

ANSWER: a
FEEDBACK:
a. If there are significant costs and tariffs and a subsidiary's per unit costs are always less than a local firm's, licensing is likely to be the lowest-cost method of supplying goods abroad.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Understand

33. Concerning the decision by an American to lend or invest abroad, which country is generally considered to be the most risky?

a. Germany
b. Switzerland
c. Singapore
d. Sudan

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Sudan has the lowest composite risk rating (48.3) and is considered to be the most risky.

POINTS: 1

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DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Country Risk Analysis
KEYWORDS: BLOOM'S: Remember

34. Concerning the decision by an American to lend or invest abroad, which country is generally considered to be the least risky?

a. United States
b. Singapore
c. China
d. Ukraine

ANSWER: b
FEEDBACK:
a.
b. Singapore has the highest composite risk rating (88.0) and is considered to be the least risky.
c.
d.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Country Risk Analysis
KEYWORDS: BLOOM'S: Remember

35. A U.S. firm is deciding on whether or not to build a production facility in Montenegro. All else being equal, if Montenegro has a very low foreign debt as a percentage of GDP, it therefore has relatively low

a. economic risk.
b. political risk.
c. investment risk.
d. financial risk.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Financial risk analysis investigates a country's ability to finance its debt obligations and includes factors such as foreign debt as a percentage of gross domestic product (GDP). A country with low foreign debt as a percentage of GDP has relatively low financial risk.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Country Risk Analysis
KEYWORDS: BLOOM'S: Apply

36. A U.S. firm is deciding on whether or not to build a production facility in Uruguay. All else being equal, if Uruguay has a relatively high inflation rate, it therefore has relatively high

a. economic risk.
b. political risk.
c. investment risk.
d. financial risk.

ANSWER: a
FEEDBACK:
a. Economic risk analysis determines a country's current economic strengths and weaknesses by looking at its rate of growth in GDP, per capita GDP, inflation rate, etc. A relatively high inflation rate indicates relatively high economic risk.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Country Risk Analysis
KEYWORDS: BLOOM'S: Apply

37. A U.S. firm is deciding on whether or not to build a production facility in Tunisia. All else being equal, if Tunisia has very little corruption, it therefore has relatively low

a. economic risk.
b. political risk.
c. investment risk.
d. financial risk.

ANSWER: b
FEEDBACK:
a.
b. Political risk analysis is intended to assess the political stability of a country and includes criteria such as government stability, corruption, domestic conflict, religious tensions, and ethnic tensions. Very little corruption indicates relatively low political risk.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Country Risk Analysis
KEYWORDS: BLOOM'S: Apply

38. Trade analysis involving multinational enterprises differs from conventional trade analysis in that multinational enterprise analysis emphasizes

a. absolute cost differentials rather than comparative cost differentials.
b. the international movement of factor inputs rather than finished goods.
c. purely competitive markets rather than imperfectly competitive markets.
d. portfolio investments rather than direct foreign investments.

ANSWER: b
FEEDBACK:
a.
b. The major difference between the multinational enterprise analysis and the conventional trade model is that the former stresses the international movement of factor inputs, whereas the latter is based on the movement of merchandise among nations.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

39. Trade analysis involving multinational enterprises is in agreement with conventional trade analysis in that both emphasize

a. absolute cost differentials rather than comparative cost differentials.
b. the international movement of factor inputs rather than finished goods.
c. purely competitive markets rather than imperfectly competitive markets.
d. that production will take place in a low-cost country.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The major difference between the multinational enterprise analysis and the conventional trade model is that the former stresses the international movement of factor inputs, whereas the latter is based on the movement of merchandise among nations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

40. Trade analysis involving multinational enterprises differs from conventional trade analysis in that multinational enterprise analysis emphasizes

a. intrafirm sales where prices are determined by factors other than a competitive pricing system.
b. the international movement of finished goods.
c. purely competitive markets rather than imperfectly competitive markets.
d. portfolio investments rather than direct foreign investments.

ANSWER: a
FEEDBACK:
a. Conventional trade theory assumes that commodities are traded between independent, competitive businesses, whereas MNEs are often vertically integrated businesses with substantial intrafirm sales.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

41. Since the 1980s, Japanese auto companies have invested billions of dollars in U.S.-based assembly facilities known as transplants. This investment is explained by all of the following, except the desire to

a. silence critics who insist that autos sold in the United States must be built there.
b. avoid the potential import barriers of the United States.
c. provide a hedge against fluctuations in the dollar-yen exchange rate.
d. All of these are correct.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Establishing transplants in the United States provides a number of benefits to Japanese automakers, including opportunities to silence critics who insist that autos sold in the United States must be built there, avoid the potential import barriers of the United States, gain access to an expanding market at a time when the Japanese market is nearing saturation, and provide a hedge against fluctuations in the yen-dollar exchange rate.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG3: - Analytic Technology
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Foreign Auto Assembly Plants in the United States
KEYWORDS: BLOOM'S: Remember

42. Most of Toyota's auto plants in the United States are located in
a. the Pacific Northwest states, such as Washington and Idaho.
b. mountain states such as Wyoming and Montana.
c. southern states such as Tennessee, Kentucky, and Alabama.
d. northeastern states such as Main, Vermont, and New Hampshire

ANSWER: c
FEEDBACK:
a.
b.
c. Most of Toyota's auto plants in the United States are located in southern states, including Kentucky, Alabama, Indiana; Texas, West Virginia, and Mississippi.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Foreign Auto Assembly Plants in the United States
KEYWORDS: BLOOM'S: Remember

43. The market power effect of an international joint venture can lead to welfare losses for the domestic economy unless offset by cost reductions. Which type of cost reduction would NOT lead to offsetting welfare gains for the overall economy?
a. research and development generating improved technology
b. development of more productive machinery
c. new work rules promoting worker efficiency
d. lower wages extracted from workers

ANSWER: d
FEEDBACK:
a.
b.
c.
d. A cost reduction that represents a transfer of dollars from domestic workers does not constitute an overall welfare gain for the economy.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Apply

44. All of the following are potential advantages of an international joint venture, except
a. sharing research and development costs among corporations.
b. forestalling protectionism against imports.
c. establishing work rules promoting higher labor productivity.
d. operating at diseconomy-of-scale output levels.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. International joint ventures can yield welfare-increasing effects as well as market power effects. Operating at diseconomy-of-scale output levels is not a potential advantage of an international joint venture.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

45. Which business device involves the creation of a new business by two or more companies, often for a limited period of time?
a. multinational enterprise
b. international joint venture
c. horizontal merger
d. vertical merger

ANSWER: b
FEEDBACK:
a.
b. A joint venture is a business organization established by two or more companies that combines their skills and assets.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise

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KEYWORDS: BLOOM'S: Remember

46. International joint ventures can lead to welfare losses when the newly established firm
    a. adds to the pre-existent productive capacity.
    b. enters markets neither parent could have entered individually.
    c. yields cost reductions unavailable to parent firms.
    d. gives rise to increased amounts of market power.

ANSWER: d
FEEDBACK:
    a.
    b.
    c.
    d. The formation of a joint venture may result in welfare losses. For instance, it may give rise to increased market power, suggesting greater ability to influence market output and price.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

47. Which term best describes the relationship between Kellogg Inc. and Wilmar International Limited?
    a. multinational enterprise
    b. international joint venture
    c. multilateral contract
    d. international commodity agreement

ANSWER: b
FEEDBACK:
    a.
    b. America's cereal and snack company Kellogg Inc. and Singapore's premier agribusiness firm Wilmar International Limited formed an international joint venture in 2012 to sell cereals to consumers in China.
    c.
    d.

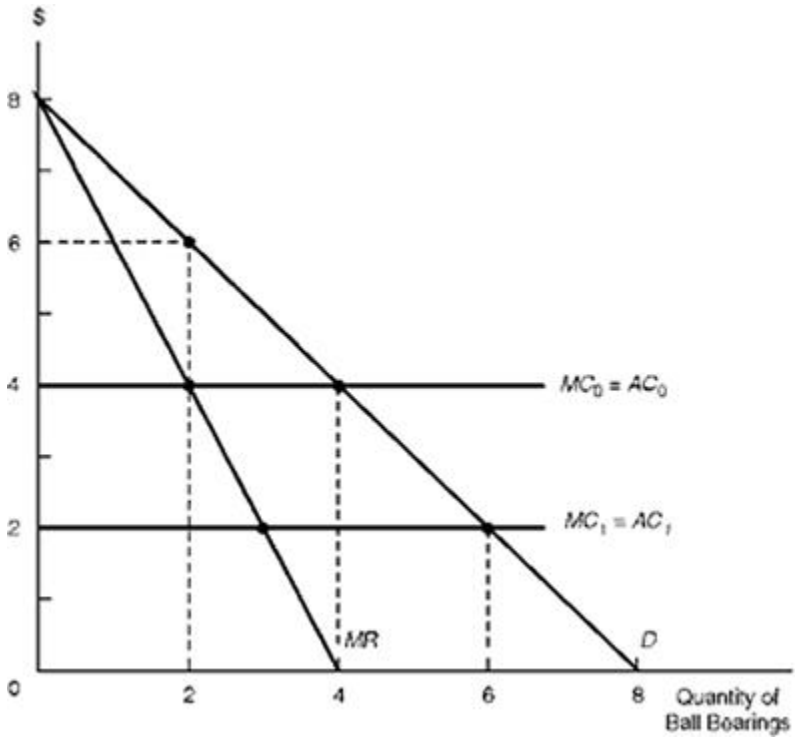
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Trade Theory and Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

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Figure 9.1 illustrates the market conditions facing SKF and Timken, initially operating as competitors in the domestic ball bearing market. Each firm realizes constant long-run costs, $MC_0=AC_0$.

Figure 9.1. International Joint Venture



48. Consider Figure 9.1. With SKF and Timken behaving as competitors, the equilibrium price and output respectively equal

a. $4 and 2 units.
b. $4 and 4 units.
c. $6 and 2 units.
d. $6 and 4 units.

ANSWER: b

FEEDBACK:

a.
b. The equilibrium price and output respectively equal $4 and 4 units.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

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49. Consider Figure 9.1. At the equilibrium price, the domestic economy attains ____ of economic surplus.

a. $4
b. $8
c. $12
d. $16

ANSWER: b

FEEDBACK:

a.
b. At the equilibrium price, the domestic economy attains $8 of economic surplus.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Apply

50. Consider Figure 9.1. Suppose that SKG and Timken jointly form a new firm, Venture Company, whose ball bearings replace the output sold by the parents in the domestic market. Assuming that Venture Company operates as a monopoly and that its costs equal MC_0=AC_0, the firm's price, output, and total profit would respectively equal

a. $6, 2 units, $4.
b. $4, 2 units, $2.
c. $6, 4 units, $4.
d. $4, 2 units, $2.

ANSWER: a

FEEDBACK:

a. If Venture Company operates as a monopoly and its costs equal MC0=AC0, the firm's price, output, and total profit would respectively equal $6, 2 units, $4.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

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51. Consider Figure 9.1. Compared to the market equilibrium position achieved by SKG and Timken as competitors, Venture Company as a monopoly leads to a deadweight welfare loss at

a. $2.
b. $4.
c. $6.
d. $8.

ANSWER: a

FEEDBACK:

a. Venture Company as a monopoly leads to a deadweight welfare loss at $2.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

52. Consider Figure 9.1. Assume Venture Company's formation yields new cost reductions, indicated by $MC_1=AC_1$, which result from technological advances. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is

a. no change.
b. a gain of $5.50.
c. a gain of $2.50.
d. a loss of $5.50.

ANSWER: b

FEEDBACK:

a.
b. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is a gain of $5.50.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

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53. Consider Figure 9.1. Assume Venture Company's formation yields new cost reductions, indicated by $MC_1=AC_1$, which result from wage concessions accepted by Venture Company employees. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is

a. no change.
b. a gain of $5.50.
c. a loss of $2.50.
d. a loss of $3.50.

ANSWER: d

FEEDBACK:

a.
b.
c.
d. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is a loss of $3.50.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

54. Consider Figure 9.1. Assume Venture Company's formation yields new cost reductions, indicated by $MC_1=AC_1$, which result from changes in work rules by Venture Company employees that lead to higher worker productivity. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is

a. no change.
b. a gain of $2.50.
c. a gain of $5.50.
d. a loss of $5.50.

ANSWER: c

FEEDBACK:

a.
b.
c. Compared to the original competitive equilibrium, the net effect of Venture Company's formation on welfare now is a gain of $5.50.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs

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TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Analyze

55. American labor unions maintain that U.S. multinational enterprises
a. export American jobs by investing overseas.
b. export American jobs by keeping investment in the United States.
c. import cheap foreign workers by shifting U.S. investment overseas.
d. import cheap foreign workers by keeping U.S. investment at home.

ANSWER: a
FEEDBACK:
a. Because labor unions are confined to individual countries, the multinational nature of these businesses permits them to escape much of the collective-bargaining influence of domestic unions.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

56. Multinational enterprises may provide benefits to their source (home) countries because they may
a. secure raw materials for the source country.
b. shift source country technology overseas via licensing.
c. export products, which reflect source-country comparative disadvantage.
d. result in lower wages for source-country workers.

ANSWER: a
FEEDBACK:
a. Multinational enterprises may provide benefits to their source (home) countries because they may secure raw materials for the source country.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

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57. Multinational enterprises face problems because they
a. cannot benefit from the advantages of comparative advantage.
b. may raise political problems in countries where their subsidiaries operate.
c. can invest only at home, but not overseas.
d. can invest only overseas, but not at home.

ANSWER: b
FEEDBACK:
a.
b. A controversial issue involving the conduct of MNEs is their effect on the political policies of the host and source governments. Many nations fear that the presence of MNEs in a given country results in a loss of its national sovereignty.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

58. Suppose General Motors charges its Mexican subsidiary $1 million for auto assembly equipment that could be purchased on the open market for $800,000. This practice is BEST referred to as
a. international dumping.
b. cost-plus pricing.
c. transfer pricing.
d. technological transfer.

ANSWER: c
FEEDBACK:
a.
b.
c. Transfer pricing is the pricing of goods within an MNE. The transfer price may be a purely arbitrary figure that means it may be unrelated to costs incurred or operations carried out.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Apply

59. Multinational enterprises
a. increase the transfer of technology between nations.

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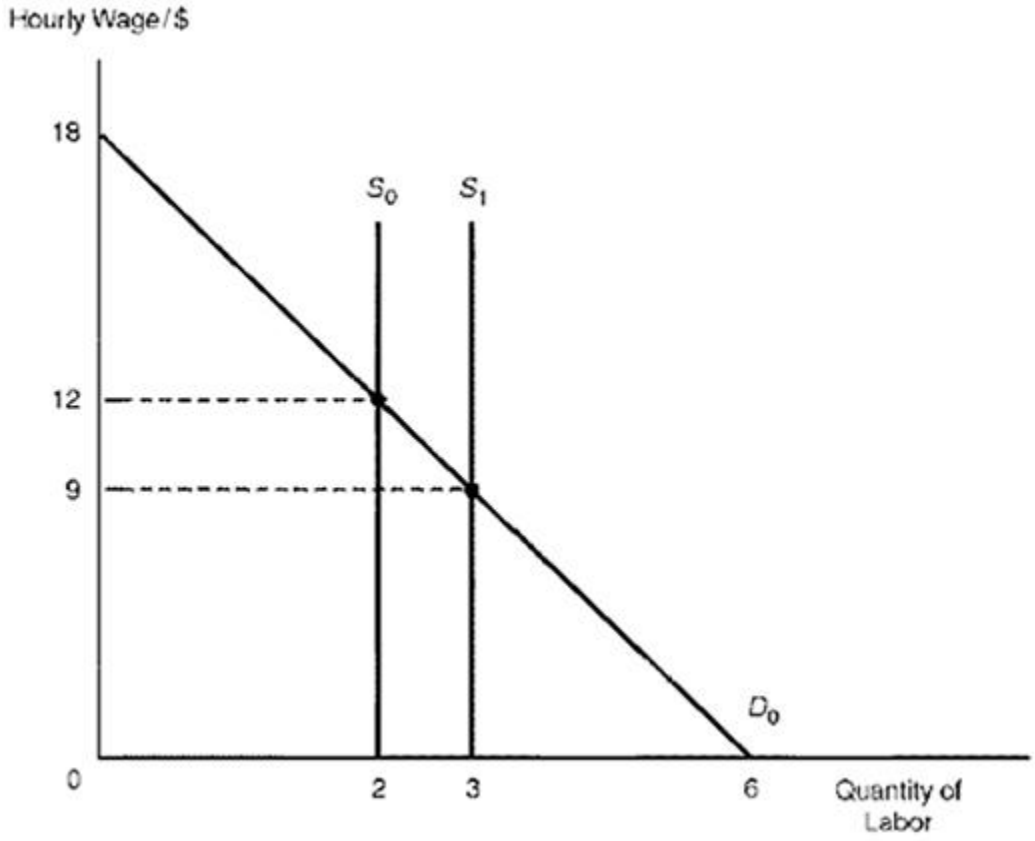
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b. make it harder for nations to foster activities of comparative advantage.
c. always enjoy political harmony in nations where their subsidiaries operate.
d. require governmental subsidies in order to conduct worldwide operations.

ANSWER: a
FEEDBACK: a. Multinational enterprises increase the transfer of technology between nations.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

Figure 9.2 represents the U.S. labor market. Assume that labor and capital are the only factors of production. Also assume the initial supply schedule of labor is denoted by S_0 and consists entirely of native U.S. workers. The demand schedule of labor is denoted by D_0.

Figure 9.2. U.S. Labor Market



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60. Consider Figure 9.2, at labor market equilibrium, _____ workers are hired at a wage rate of $____ per hour, while total labor income equals $____.

a. 2, 12, 24
b. 2, 12, 36
c. 3, 9, 27
d. 3, 9, 36

ANSWER: a

FEEDBACK:

a. At labor market equilibrium, 2 workers are hired at a wage rate of $12 per hour, while total labor income equals $24.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

61. Consider Figure 9.2. At labor market equilibrium, income earned by U.S. capital owners equals

a. $3.
b. $6.
c. $9.
d. $12.

ANSWER: b

FEEDBACK:

a.
b. At labor market equilibrium, income earned by U.S. capital owners equals $6.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

62. Consider Figure 9.2. Assume that Mexican labor migration yields a new labor supply curve, S_1, which is the

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combination of domestic labor supply and Mexican labor. As the result of the Mexican migration to the United States,

a. U.S. capital owners lose income.

b. native U.S. workers lose income.

c. U.S. capital owners and native U.S. workers lose income.

d. U.S. capital owners and native U.S. workers gain income.

ANSWER: a

FEEDBACK:

a. As the result of the Mexican migration to the United States, U.S. capital owners lose income.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

63. Consider Figure 9.2. Policies that permit Mexican workers to freely migrate to the United States would likely be resisted by

a. U.S. capital owners.

b. native U.S. workers.

c. U.S. capital owners and native U.S. workers.

d. neither U.S. capital owners nor native U.S. workers.

ANSWER: b

FEEDBACK:

a.

b. Policies that permit Mexican workers to freely migrate to the United States would likely be resisted by native U.S. workers.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

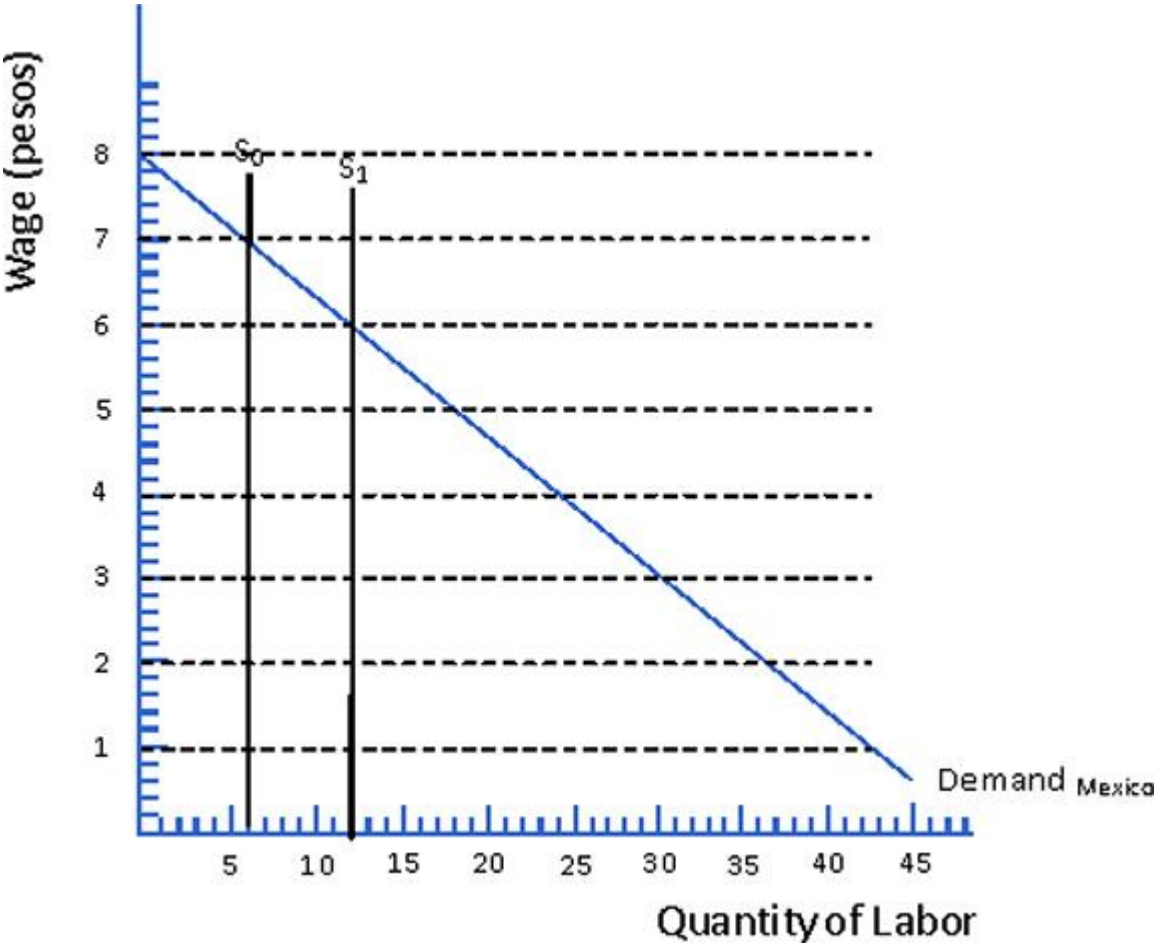
Figure 9.3 *Figure 9.3 represents the Mexican labor market. Assume that labor and capital are the only factors of production. Also assume the initial supply schedule of labor is denoted by S_0 and consists entirely of native Mexican*

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workers. The demand schedule of labor is denoted by D_{Mexico}.



64. Consider Figure 9.3. At labor market equilibrium with supply S_0, _____ workers are hired at a wage rate of ____ pesos per hour, while total labor income equals ____ pesos.

a. 6, 7, 42
b. 6, 6, 36
c. 7, 7, 49
d. 7, 6, 42

ANSWER: a

FEEDBACK:

a. At labor market equilibrium with supply S0, 6 workers are hired at a wage rate of 7 pesos per hour, while total labor income equals 42 pesos.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs

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TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

65. Consider Figure 9.3. At labor market equilibrium, the income earned by Mexican capital owners equals
a. 3 pesos.
b. 6 pesos.
c. 9 pesos.
d. 12 pesos.

ANSWER: a
FEEDBACK:
a. At labor market equilibrium, the income earned by Mexican capital owners equals 3 pesos.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

66. Consider Figure 9.3. If Honduran migration to Mexico results in the labor force increasing to 12 workers, denoted by labor supply curve S_1, the wage rate for native Mexican workers
a. decreases and payments to Mexican capital owners increase.
b. decreases and payments to Mexican capital owners decrease.
c. increases and payments to Mexican capital owners increase.
d. workers increases and payments to Mexican capital owners decrease.

ANSWER: a
FEEDBACK:
a. If Honduran migration to Mexico results in the labor force increasing to 12 workers, denoted by labor supply curve S1, the wage rate for native Mexican workers decreases and payments to Mexican capital owners increase.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 9.3
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Analyze

67. ____ refers to highly educated and skilled people who migrate from poor developing countries to wealthy industrial countries.

a. Direct investment
b. Portfolio investment
c. Transfer pricing
d. Brain drain

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Brain drain is the emigration of highly educated and skilled people from developing nations to industrial nations, thus limiting the growth potential of the developing nations.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

68. "Guest worker" programs generally result in temporary migration of workers from

a. wealthy nations to wealthy nations.
b. wealthy nations to impoverished nations.
c. impoverished nations to wealthy nations.
d. impoverished nations to impoverished nations.

ANSWER: c
FEEDBACK:
a.
b.
c. When a country allows the immigration of foreign workers on a temporary basis when needed, these workers are known as guest workers. This generally results in the temporary migration of workers from impoverished nations to wealthy nations.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration

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KEYWORDS: BLOOM'S: Understand

69. Who tends to benefit from increased immigration?
a. owners of capital in the home country
b. labor in the home country
c. both owners of capital and labor in the home country
d. neither owners of capital nor labor in the home country

ANSWER: a
FEEDBACK:
a. Increased immigration provides a cheap supply of agricultural and low-skilled workers, and tends to benefit the owners of capital in the home country.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

70. The least common type of migration pattern is for people to migrate permanently from
a. rich nations to rich nations.
b. poor nations to poor nations.
c. poor nations to rich nations.
d. rich nations to poor nations.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The least common type of migration pattern is for people to migrate permanently from rich nations to poor nations.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

71. The "brain drain" is
a. of concern primarily to host countries.
b. of concern primarily to source countries.
c. the movement of capital from a source country to a host country.

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d. the simultaneous movements of capital and labor from a source country to a host country.

ANSWER: b

FEEDBACK:

a.

b. Brain drain is the emigration of highly educated and skilled people from developing nations to industrial nations, thus limiting the growth potential of the developing nations.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Remember

72. Critics of U.S. trade and immigration policy maintain that immigrants

a. take jobs away from Americans

b. suppress domestic wages

c. consume sizable amounts of public services

d. All of these are correct

ANSWER: d

FEEDBACK:

a.

b.

c.

d. Critics maintain that immigrants take jobs away from Americans, suppress domestic wages, and consume sizable amounts of public services.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

73. Which of the following do American labor unions NOT accuse U.S. multinational firms of?

a. They enjoy unfair advantages in taxation.

b. They export jobs by shifting technology overseas.

c. They export jobs by shifting investment overseas.

d. They operate at output levels where scale economies occur.

ANSWER: d

FEEDBACK:

a.

b.

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c.

d. American labor unions do not accuse U.S. multinational firms of operating at output levels where scale economies occur.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Remember

74. While in the _____immigration lowers average wages, in the _____wages_____.

a. short run, long run, also decrease

b. long run, short run, also decrease

c. long run, short run, increase

d. short run, long run, remain essentially unchanged

ANSWER: d
FEEDBACK:

a.

b.

c.

d. While in the short run immigration lowers average wages, in the long run wages remain essentially unchanged.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Remember

75. Foreign direct investment typically occurs when

a. the earnings of the parent company are invested in plant expansion overseas.

b. the parent company transfers jobs overseas.

c. the parent company closes its foreign production plants.

d. the parent company purchases bonds of foreign governments.

ANSWER: a
FEEDBACK:

a. Foreign direct investment is the acquisition of a controlling interest in an overseas company or facility. It typically occurs when the earnings of the parent company are invested in plant expansion overseas.

b.

c.

d.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

76. Joint ventures can yield
a. a welfare-decreasing market power effect.
b. a welfare-increasing cost reduction effect.
c. no changes in welfare.
d. All of these are correct.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. International joint ventures can yield a welfare-decreasing market power effect and a welfare-increasing cost reduction effect. They can also yield no changes in welfare.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

77. Multinational enterprises face problems because they
a. cannot benefit from the advantages of comparative advantage.
b. may raise political problems in countries where their subsidiaries operate.
c. can invest only at home, not overseas.
d. can invest only overseas, not at home.

ANSWER: b
FEEDBACK:
a.
b. A controversial issue involving the conduct of MNEs is their effect on the political policies of the host and source governments. Many nations fear that the presence of MNEs in a given country results in a loss of its national sovereignty.
c.
d.

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

78. The _____ refers to the price charged for goods sold to a subsidiary of a multinational enterprise by another subsidiary in another country

a. corporate price
b. transfer price
c. monopoly price
d. dumping price

ANSWER: b
FEEDBACK:
a.
b. Transfer pricing is the pricing of goods within an MNE. The transfer price may be a purely arbitrary figure that means it may be unrelated to costs incurred or operations carried out.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

79. In 2016, three of the world's five largest corporations were based in

a. the U.S.
b. Germany.
c. Canada.
d. China.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. In 2016, three of the world's five largest corporations were based in China.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

80. Immigration tends to reduce the incomes of all factors of production.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Migration increases output and decreases wages in the country of immigration because it decreases output and increases wages in the country of emigration.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

81. Transfer pricing allows MNEs to reduce their taxable income.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* Transfer pricing allows MNEs to reduce their taxable income in the higher-tax country. The increased income of the subsidiary that occurs because of the inflated transfer price is taxed at the lower rate.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

82. MNEs can resist a government’s attempts to redistribute national income through taxation.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* By using accounting techniques that shift profits overseas, an MNE may be able to evade the taxes of a host country.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False

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HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Remember

83. An MNE may be able to evade the taxes of a host country.
a. True
b. False
ANSWER: True
FEEDBACK: *Correct* By using accounting techniques that shift profits overseas, an MNE may be able to evade the taxes of a host country. An MNE could accomplish this evasion by raising prices on goods from its subsidiaries in nations with modest tax rates to reduce profits on its operations in a high-tax nation where most of its business actually takes place.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Remember

84. In recent years, Canada has virtually closed its borders to foreign workers who desire to migrate to the country.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Canada today has one of the highest immigration rates in the world.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

85. Almost one-third of the current foreign-born population in Canada is undocumented, compared to 6 percent in the United States.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Almost one-third of the current foreign-born population in the United States is

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undocumented, the figure is no more than 6 percent in Canada.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Remember

86. In recent years, the majority of U.S. foreign direct investment has flowed to Asia, especially in the services sector.
a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect In recent years, the majority of U.S. foreign direct investment (FDI) has flowed to Europe, Latin America, and Canada, especially in the manufacturing sector.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

87. Most Japanese auto assembly plants located in the United States are located in southern states such as Texas, Alabama, and Tennessee.
a. True
b. False

ANSWER: True
FEEDBACK:
Correct Most of Toyota's auto plants in the United States are located in southern states, including Kentucky, Alabama, Indiana; Texas, West Virginia, and Mississippi.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Foreign Auto Assembly Plants in the United States
KEYWORDS: BLOOM'S: Understand

88. Concerning the decision of a U.S. resident to lend or invest abroad, Zimbabwe and Sudan have recently been considered to be relatively safe investments regarding the risk of default.
a. True

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b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Both Zimbabwe and Sudan have very low composite risk ratings and are considered to be very high risk.

POINTS: 1

DIFFICULTY: Challenging

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Country Risk Analysis

KEYWORDS: BLOOM'S: Analyze

89. Multinational enterprises can escape the collective bargaining influence of domestic unions.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Because labor unions are confined to individual countries, MNEs can escape much of the collective bargaining influence of domestic unions and can seek out those countries where labor has minimal market power.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Multinational Enterprises as a Source of Conflict

KEYWORDS: BLOOM'S: Understand

90. Royal Dutch Shell, Walmart Stores, and Sinopec Group are among the world's smallest corporations in recent years.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Royal Dutch Shell, Walmart Stores, and Sinopec Group are among the world's largest corporations in recent years.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Remember

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91. International trade in goods and services and flows of productive factors are substitutes for each other.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* The economic forces underlying the international movement in factors of production are virtually identical to those underlying the international flow of goods and services.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Remember

92. Most multinational corporations have a low ratio of foreign sales to total sales, usually 5 percent or less.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect A typical MNE has a high ratio of foreign sales to total sales, often 25 percent or more.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Remember

93. Vertical integration occurs if a parent multinational corporation establishes foreign subsidiaries to produce intermediate goods or inputs that go into the production of a finished good.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Vertical integration occurs when the parent establishes subsidiaries to produce intermediate goods or inputs that go into the production of a finished good.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

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United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

94. Sinopec Group would undertake forward integration if it acquired oil wells in the Middle East.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Forward integration occurs when the parent firm establishes subsidiaries in the direction of the final consumer market.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

95. Forward integration would occur if a U.S. automobile manufacturer acquired a German subsidiary.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Forward integration occurs when the parent firm establishes subsidiaries in the direction of the final consumer market.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

96. Most vertical foreign investment, as implemented by multinational corporations, is "forward" in nature rather than "backward."
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*

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Incorrect In practice, most vertical foreign investment is backward.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

97. Horizontal integration would occur if General Motors sets up a subsidiary in Mexico to produce automobiles identical to those that it produces in the United States.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Horizontal integration occurs when a parent company producing a commodity in the source country sets up a subsidiary to produce an identical product in the host country.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

98. Multinational corporations sometimes locate manufacturing subsidiaries abroad to avoid tariff barriers, which would place their products at a competitive disadvantage in a foreign country.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Trade restrictions are among the major factors that influence decisions to undertake foreign direct investment.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

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99. Foreign direct investment would occur if Mobile Inc. of the United States acquired sufficient common stock in a foreign oil company to assume voting control.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Foreign direct investment is the acquisition of a controlling interest in an overseas company or facility.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Understand

100. Foreign direct investment would occur if Microsoft Inc. of the United States purchased securities of the French government.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect Foreign direct investment is the acquisition of a controlling interest in an overseas company or facility.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Understand

101. Conglomerate integration would occur if General Motors Inc. of the United States acquired a controlling interest in a British chemical company.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Diversification into nonrelated markets it is known as conglomerate integration.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

102. Both economic theory and empirical studies support the notion that foreign direct investment is conducted in anticipation of future profits.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Foreign direct investment is the acquisition of a controlling interest in an overseas company or facility. Both economic theory and empirical studies support the idea that foreign direct investment is conducted in anticipation of future profits.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

103. Multinational corporations often locate manufacturing operations abroad in order to take advantage of foreign resource endowments or wage scales.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Multinational corporations often locate manufacturing operations abroad in order to take advantage of foreign resource endowments or wage scales
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

104. If the size of the Canadian market is large enough to permit efficient production in Canada, a U.S. firm would profit by establishing a Canadian manufacturing subsidiary or licensing rights to a Canadian firm to manufacture and sell its product in Canada.

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a. True
b. False

ANSWER: True

FEEDBACK:
Correct When the Canadian market's size is large enough to permit efficient production in Canada, a U.S. firm increases profits by establishing a Canadian production subsidiary or licensing the rights to a Canadian firm to produce and market its product in Canada.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Supplying Products to Foreign Buyers: Whether to Produce Domestically or Abroad
KEYWORDS: BLOOM'S: Understand

105. There is virtually universal agreement among economists that foreign direct investment in the United States has reduced the economic welfare of the average U.S. citizen.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Foreign direct investment is actively courted by countries because it generates spillovers such as improved management and better technology. As is true with firms that trade, firms and sectors in which foreign direct investment is intense tend to have higher average labor productivity and pay higher wages. Thus, foreign direct investment in the United States has increased the economic welfare of the average U.S. citizen.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

106. Foreign-owned companies in the United States operate under more strict antitrust, environmental, and other regulations than U.S.-owned companies.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Foreign-owned companies in the United States operate under the same antitrust,

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environmental, and other regulations than U.S.-owned companies.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Motives for Foreign Direct Investment
KEYWORDS: BLOOM'S: Understand

107. During the 1980s and 1990s, Japanese auto firms established manufacturing facilities in the United States known as "transplants."

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Since the 1980s, Japanese automakers have invested billions of dollars in U.S.-based assembly facilities known as transplants.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Foreign Auto Assembly Plants in the U.S.
KEYWORDS: BLOOM'S: Remember

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108. The United Auto Workers union maintains that the Japanese transplants resulted in job gains in the auto-assembly and parts-supplier industries.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The United Auto Workers union maintains that the Japanese transplants resulted in job losses in the auto-assembly and parts-supplier industries.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Japanese Transplants in the U.S. Automobile Industry
KEYWORDS: BLOOM'S: Remember

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109. Mergers differ from joint ventures in that they involve the creation of a new business firm, rather than the union of two existing companies.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect A joint venture is a business organization created by two or more companies that combines their skills and assets.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: International Joint Ventures

KEYWORDS: BLOOM'S: Understand

110. Developing countries such as China and India have historically closed their borders to foreign companies unless they are willing to take on partner companies in developing countries.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Developing countries such as China and India have historically closed their borders to foreign companies unless they are willing to take on partner companies in developing countries.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: International Joint Ventures

KEYWORDS: BLOOM'S: Understand

111. In natural-resource-oriented industries, such as oil and copper, joint ventures have often been formed by several companies since the cost of resource extraction may be prohibitively large for a particular company.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Many of the world's largest natural-resource-oriented companies have been owned and mined jointly on the grounds that joint financing is required to raise enough capital.

Incorrect

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

112. International joint ventures tend to yield a welfare-increasing market-power effect and a welfare-decreasing cost-reduction effect.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect International joint ventures can yield welfare-increasing effects as well as market power effects.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

113. A joint venture leads to increases in national welfare if the cost-reduction effect is due to wage concessions and if it more than offsets the market-power effect.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect A joint venture leads to improvements in national welfare if its cost-reduction effect is the result of improvements in technology and productivity and if it more than offsets the market-power effect.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

114. A joint venture leads to increases in national welfare if its cost-reduction effect is due to productivity gains and if it

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more than offsets the market-power effect.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* A joint venture leads to improvements in national welfare if its cost-reduction effect is the result of improvements in technology and productivity and if it more than offsets the market-power effect.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: International Joint Ventures

KEYWORDS: BLOOM'S: Understand

115. Joint ventures lead to losses in national welfare when the newly established business adds to pre-existing production capacity and fosters additional competition.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect A joint venture leads to improvements in national welfare if its cost reduction effect is the result of improvements in technology and productivity and if it more than offsets the market-power effect.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: International Joint Ventures

KEYWORDS: BLOOM'S: Analysis

116. Joint ventures lead to national welfare gains if the newly established business yields productivity increases that would have been unavailable if each parent performed the same function separately.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* A joint venture leads to improvements in national welfare if its cost-reduction effect is the result of improvements in technology and productivity and if it more than offsets the market-power effect.

Incorrect

POINTS: 1

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QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

117. A joint venture among two large, competing companies tends to yield a market-power effect, which results in a reduction in consumer surplus that is not offset by a corresponding gain to producers.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct A joint venture leads to improvements in national welfare if its cost reduction effect is the result of improvements in technology and productivity and if it more than offsets the market-power effect.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

118. There is universal agreement on an exact definition of a multinational enterprise.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect There is no universal agreement on an exact definition of a multinational enterprise.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Remember

119. Imagine that, in 2017, the Ford Motor Company earned $521 million from its production operations in Mexico. Those earnings are then used to expand those same Mexican production operations. This is NOT an example of foreign

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direct investment.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect If earnings from the host country are used to expand those same Mexican production operations, this is an example of foreign direct investment.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The Multinational Enterprise

KEYWORDS: BLOOM'S: Understand

120. If a joint venture among competing firms is able to cut costs by extracting wage concessions from domestic workers, national welfare increases.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect If a joint venture among competing firms is able to cut costs by extracting wage concessions from domestic workers, national welfare decreases.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: International Joint Ventures

KEYWORDS: BLOOM'S: Understand

121. Critics of multinational corporations maintain that they often abandon domestic workers in order to take advantage of lower wage scales abroad.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Critics of multinational corporations maintain that they often abandon domestic workers in order to take advantage of lower wage scales abroad.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

122. The theory of multinational enterprise is totally inconsistent with the principle of comparative advantage.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect From a trade theory perspective, the multinational enterprise analysis is fundamentally in agreement with the predictions of the comparative-advantage principle. Both approaches agree that a given commodity will be produced in a low-cost country.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

123. Due to transfer-pricing problems, multinational corporations must shift profits away from countries with low corporate tax rates to high tax-rate countries, thus absorbing a larger tax bite.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect Transfer pricing is the pricing of goods within an MNE. The transfer price may be a purely arbitrary figure, meaning that it may be unrelated to costs incurred or operations carried out.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Understand

124. The operations of an MNE have little effect on employment in either the host country or the home country.
a. True
b. False

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ANSWER: False
FEEDBACK: *Correct*
Incorrect The operations of an MNE have effects on employment in both the host and source countries.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Remember

125. In the short run, the home country of an MNE will likely experience an employment decline when production is shifted overseas.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The issues of runaway jobs and cheap foreign labor are of vital concern to home workers. In the short run, the home country of an MNE will likely experience an employment decline when production is shifted overseas.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Multinational Enterprises as a Source of Conflict
KEYWORDS: BLOOM'S: Remember

126. As workers migrate from low-wage Mexico to high-wage United States, wages tend to rise in Mexico and fall in the United States.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Prior to migration, the wage rate in the United States exceeds that of Mexico. Responding to the wage differential, Mexican workers immigrate to the United States; this leads to a reduction in the Mexican labor supply and an increase in the U.S. labor supply. Wage rates will continue to rise in Mexico and fall in the United States until they eventually equalize.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False

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NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

127. The migration of workers from Mexico to the United States tends to exert downward pressure on the wages of native U.S. workers who compete against Mexican workers for jobs.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct Prior to migration, the wage rate in the United States exceeds that of Mexico. Responding to the wage differential, Mexican workers immigrate to the United States; this leads to a reduction in the Mexican labor supply and an increase in the U.S. labor supply. Wage rates will continue to rise in Mexico and fall in the United States until they eventually equalize.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

128. The effect of workers migrating from low-wage Mexico to high-wage United States is to redistribute income from capital to labor in the United States and from labor to capital in Mexico.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect The labor migration hurts native U.S. workers but helps U.S. owners of capital; the opposite occurs in Mexico.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

129. Developing countries have sometimes feared open immigration policies of developed countries on the grounds that highly educated and skilled people may immigrate to the developed countries, thus limiting the growth potential of the developing countries.

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a. True
b. False

ANSWER: True

FEEDBACK:
Correct Developing nations have sometimes feared open immigration policies because they can result in the emigration of highly educated and skilled people from developing nations to industrial nations, thus limiting the growth potential of the developing nations.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

130. In the United States, labor unions have generally resisted efforts to implement restrictions on the number of foreigners allowed into the country.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect In the United States, labor unions have generally called for restrictions on the number of foreigners allowed into the country.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

131. The United States has discouraged the "brain drain" problem by permitting the immigration of unskilled workers while restricting the immigration of skilled persons.

a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect The brain drain has been encouraged by national immigration laws, as in the United States and other industrial nations, that permit the immigration of skilled persons while restricting that of unskilled workers

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

132. Labor migration tends to increase output and decrease wages in the country of immigration while decreasing output and increasing wages in the country of emigration.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Migration increases output and decreases wages in the country of immigration because it decreases output and increases wages in the country of emigration.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

133. Are there any differences between the theory of multinational enterprises and conventional trade theory?

ANSWER: There are major differences. The conventional model assumes that commodities are traded between independent, competitive businesses. However, multinational enterprises are often vertically integrated businesses with substantial intrafirm sales. Also, multinational enterprises may use transfer pricing to maximize overall company profits of any single subsidiary.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Multinational Enterprise
KEYWORDS: BLOOM'S: Understand

134. What are the disadvantages of forming joint ventures?

ANSWER: A joint venture is a cumbersome organization compared with a single organization. Control is divided, creating problems of "two masters." Success or failure depends on how well companies work together despite having different objectives, corporate cultures, and ways of doing things. The action of corporate chemistry is hard to predict, but it is critical

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because joint-venture agreements usually provide both partners an ongoing role in management. When joint-venture ownership is divided equally, as often occurs, deadlocks in decision-making can take place. Even when negotiated balance is achieved, it can be upset by changing corporate goals or personnel.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Joint Ventures
KEYWORDS: BLOOM'S: Understand

135. What are the key elements underlying Canada's immigration policy?

ANSWER: [From the text, page 339] Canadians realize the positive benefits of immigration including economic development and the creation of jobs for native-born Canadians. This is because a large proportion of Canadian immigrants are highly skilled people who are net contributors to the economy. Also, with a sparse population and low birth rate, Canada needs immigrants for population growth and economic development. About two-thirds of Canada's permanent visas are granted for Canada's economic needs, including the filling of labor shortages; in contrast, about two-thirds of U.S. green cards are granted for family reunions. Canadians consider multiculturalism as a key ingredient of their national identity. They contend that people who are exposed to different viewpoints and cultures are more likely to cooperate with one another or reach a compromise when differences occur and become more productive by learning from others. Canadians generally see immigration as adding to the social fabric of the country. Finally, Canada has little reason to fear illegal immigration. Although Canada and the United States share a long border, millions of Americans do not wish to move to Canada. In other words, the United States serves as a buffer zone for unauthorized immigration that reduces Canadian anxiety about it. Canada emphasizes open immigration policies that accept talented foreigners who have the skills the country needs and the desire to succeed. Canada has transformed itself into an immigrant country, with a foreign-born population (20 percent) exceeding that of the United States (13 percent). Most Canadians feel that this infusion of talent has added to the economic vitality of Canada.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: International Labor Mobility: Migration
KEYWORDS: BLOOM'S: Understand

136. What particular aspects of multinational operations generate potential conflict?

ANSWER: Answers should focus on issues such as employment impacts, technology transfer, national sovereignty, balance-of-payments, transfer pricing, and tax policy. Answers could also

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include negative net welfare impacts of joint ventures.

POINTS:	1
DIFFICULTY:	Moderate
QUESTION TYPE:	Essay
HAS VARIABLES:	False
STUDENT ENTRY MODE:	Basic
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
TOPICS:	Multinational Enterprises as a Source of Conflict
KEYWORDS:	BLOOM'S: Understand

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